The surfeit of global savings, easy credit and monetary policies have contributed to asset valuations rising massively, lowering underlying interest rates. This in turn has raised valuation of financial assets as well. The global wealth is many times of global GDP now and there are millions of millionaires and billionaires in the world now. Unfortunately, there is no tax on valuation gains over assets at all. The wealth, which should pay good tax, pays no tax on uncashed valuation gains and low tax or no tax on cashing of valuation gains.

The taxation of wealth needs a complete makeover.

Wealth Tax Act, 1957

The Wealth Tax Act, 1957, as originally enacted, was a simpler construct, though it had excluded several assets from its scope. Wealth was defined as ‘assets’ which included property of every description, movable or immovable, except agricultural land, agricultural building, livestock and the right to any annuity or any interest in property where such annuity or interest was for a period not exceeding five years. The tax was leviable on ‘net wealth’ (the amount by which the aggregate value computed in accordance with the provisions of the Act on the valuation date exceeded the aggregate value of all the debts owned by the assessee on the valuation date).

Wealth tax was not payable with respect to property held under trust or other legal obligation for religious or charitable purposes within India, interest in the coparcenary property of any Hindu Undivided Family, any works of art, archaeological, scientific or art collections, books, manuscripts or heirlooms, the right of the assessee to receive a pension or other life annuity, rights under any patent or copyright, domestic animals and furniture, household utensils, jewellery (subject to a maximum value), the right or interest of the assessee in any policy of insurance, tools and instruments necessary for carrying on profession or vocation, ten-year